Earnings update

Airbus Q3 2026: the guide holds, Q4 must deliver

29 October 2026 · Syz Research

Airbus builds commercial aircraft (A220, A320, A330, A350), helicopters and defence and space systems. Commercial aircraft were 73% of Q3 revenue; nine-month revenue EUR 50.6bn. Listed in Paris, Frankfurt and Madrid.

Key takeaways

In line Q3 adjusted EBIT of EUR 1.77bn matched consensus; revenue missed by 5% on fewer deliveries.

Reaction Shares closed 3.3% higher on 29 October, against 0.8% for the Stoxx Europe 600.

Watch The unchanged guide needs about 323 Q4 deliveries and EUR 5.8bn of Q4 free cash flow.

Valuation 23.5x forward earnings, 35% above the 17.4x average since 2005, below January's 27.7x.

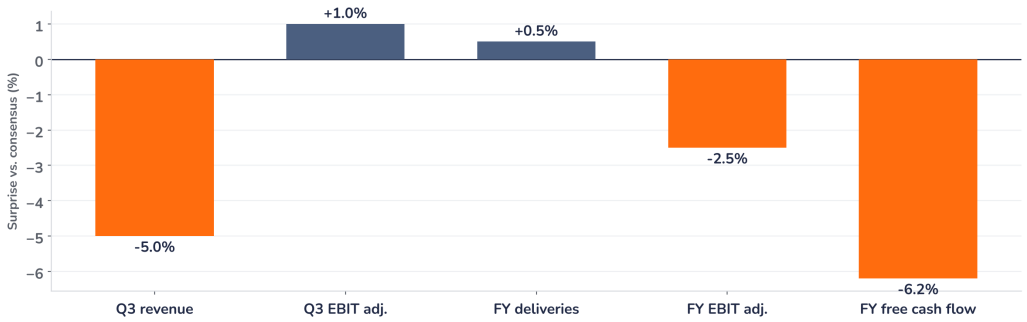
Q3 adjusted EBIT	Q3 revenue	Q3 free cash flow	2026 EBIT guide
EUR 1.77bn	**EUR 17.5bn**	**EUR −0.10bn**	**EUR 7.5bn**
+1.0% vs. consensus	−5.0% vs. consensus	vs. EUR +0.33bn consensus	Held, 2.5% below consensus

Relief on the guide, the cash test is Q4

Q3 adjusted EBIT matched consensus while revenue missed by 5% and free cash flow by about EUR 0.4bn, yet the shares closed 3.3% higher on 29 October, against 0.8% for the Stoxx Europe 600. The guide held and orders keep building: 1,105 net orders in nine months, more than double last year. The case now rests on delivering Q4.

Chart 1 · AIR: Q3 2026 results and 2026 guide vs. consensus

Q3 reported vs. Q3 consensus · maintained 2026 guide vs. 2026 consensus, % · free cash flow before customer financing



The misses are volume and cash, not margin: commercial EBIT held up as fewer aircraft left the line. The maintained 2026 guide sits 2.5% below consensus on EBIT and 6% below on free cash flow, a gap that already existed before the release; the delivery guide is slightly above consensus.

Base case and implications

We are constructive on Airbus. We underwrite about 870 deliveries this year, adjusted EBIT of about EUR 7.5bn and a 2027 ramp paced by engines, backed by a backlog of 9,310 aircraft. Forward EPS of EUR 8.4 is 15% above its 2019 peak, and defence orders, up 70%, add a second leg. The debate has moved from demand to execution: the Spirit integration and the cash release from about EUR 10bn of extra inventory. At 23.5x, delivery must follow. Next test: the full-year results in February.

What would strengthen our view

Q4 deliveries at or above 323 with free cash flow before customer financing of at least EUR 4.5bn; a decision to lift the A350 rate above 12 a month; Project Bromo signed in 2026.

What would change our view

Deliveries below 850, the low end of the range; free cash flow short of EUR 4bn as inventory fails to unwind; Spirit costs above the guided effect; fewer engines than planned for 2027.

Beyond the key takeaways

Results: fewer deliveries, firmer margins

Q3 revenue fell 2% to EUR 17.5bn and adjusted EBIT 9% to EUR 1.77bn on 196 deliveries. Commercial Aircraft revenue fell 2% to EUR 12.8bn and its adjusted EBIT 12% to EUR 1.38bn, a 10.8% margin against the 10.4% analysts expected, on fewer deliveries, a less favourable mix and the integration of the former Spirit AeroSystems work packages, which also cost EUR 112m in charges below adjusted EBIT. Helicopters fell 17% to EUR 205m and Defence and Space rose 19% to EUR 185m. Free cash flow before customer financing was EUR −102m, as inventory rose about EUR 10bn since January to support the ramp. Net cash fell to EUR 7.0bn from EUR 12.2bn at end-2025.

The reaction diverged from the misses: the shares closed 3.3% higher on 29 October, against 0.8% for the Stoxx Europe 600. Confirmed drivers: the 2026 guide held; management said the A321 stringer issue would not push deliveries toward the low end of the 850 to 890 range nor affect 2027; commercial margins beat; and nine-month net orders of 1,105 lifted the backlog to 9,310 aircraft, with defence orders up 70%. We think relief did the rest: the shares went into the print 12% below their January peak, at 22.9x, under the one-year average of 24.2x.

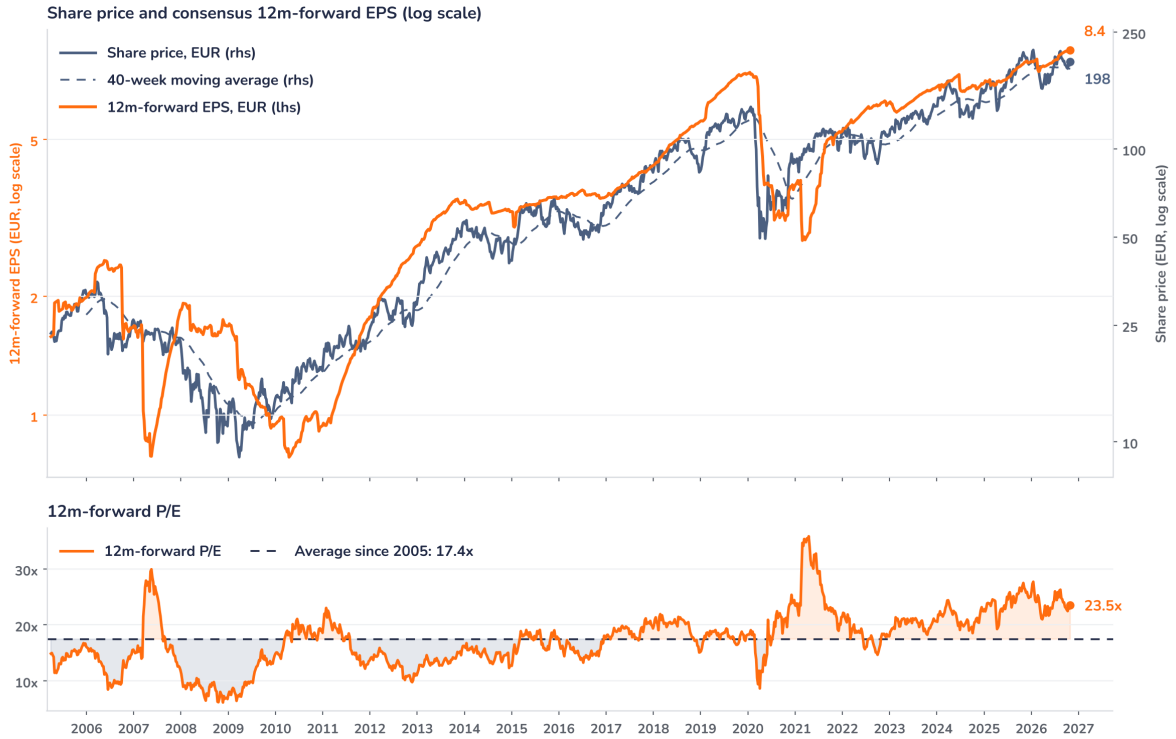
Outlook: a heavy fourth quarter

The unchanged guide of about 870 deliveries, EUR 7.5bn of adjusted EBIT and EUR 4.5bn of free cash flow before customer financing leaves a heavy Q4: about 323 deliveries, 37 more than a year earlier; about EUR 3.0bn of EBIT, roughly flat as the A220 mix, Spirit costs and back-loaded R&D absorb the volume; and about EUR 5.8bn of cash, which depends on unwinding the inventory built this year. Engines remain the pacing item in 2027, and Airbus will not build extra airframes ahead of them. An A350 rate above 12 is under review. The 2029 outlook assumes USD 1.22, each cent worth about EUR 250m of EBIT.

Valuation: a premium to history, not to 2026

Chart 2 · AIR: share price vs. consensus earnings and valuation

AIR FP Equity, weekly, April 2005 to October 2026 · BEst 12m-forward consensus · 40-week simple MA · log scale · P/E shaded vs. its 2005 to 2026 average · last price EUR 198.30 is the 29 October close, the first session after the release



Earnings have outrun the price: over 12 months consensus forward EPS rose 8% to EUR 8.4 while the shares fell 7%, so the forward P/E fell from 27.5x to 23.5x. That is 35% above the 17.4x average since 2005 and above the ten-year average of 20.8x, but below the one-year average of 24.2x and the 27.7x reached at the January record of EUR 217. The 2021 peak of 35.8x reflected depressed post-pandemic earnings. The price is 6% above its 40-week average. A 10% EPS upgrade at an unchanged price would take the multiple to 21.4x, the five-year average.

SYZ Source: Syz Research, Bloomberg, company filings, Airbus nine-month 2026 release and call of 28 October 2026, analyst research notes of 29 October 2026

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